CUSHMAN & WAKEFIELD

MARKET FUNDAMENTALS

	YOY Chg	Outlook
$93,200 Median HH Income	▲	▲
2.2% Population Growth	▲	▲
3.3% Unemployment Rate	▼	▲

Source: BLS

ECONOMIC INDICATORS

	YOY Chg	Outlook
2.1% GDP Growth	▼	▲
2.7% Consumer Spending Growth	—	▲
1.9% Retail Sales Growth	▼	▲

Source: BEA, Census Bureau

ECONOMY: PHOENIX REMAINS RESILIENT

In Q4 2024, the Phoenix market recorded an employment level of 2.5 million jobs and the unemployment rate decreased significantly from 3.8% in Q4 2023 to 3.3% in Q4 2024. This unemployment rate is well below the national average of 4.2% and equals the second-lowest rate of any major city with employment exceeding 2 million jobs. The metro area continues to record strong growth, as the number of households increased by 2.3% year-over-year (YOY) to 2.0 million. Strong wage growth continues to bring job seekers back into the labor market, as the median household income reached $93,200 in Q4 2024, an increase of 3.9% YOY. In comparison, the Consumer Price Index in the Phoenix area has risen 1.6% YOY according the Bureau of Labor Statistics.

DEMAND: NET ABSORPTION BREAKS POSITIVE TREND

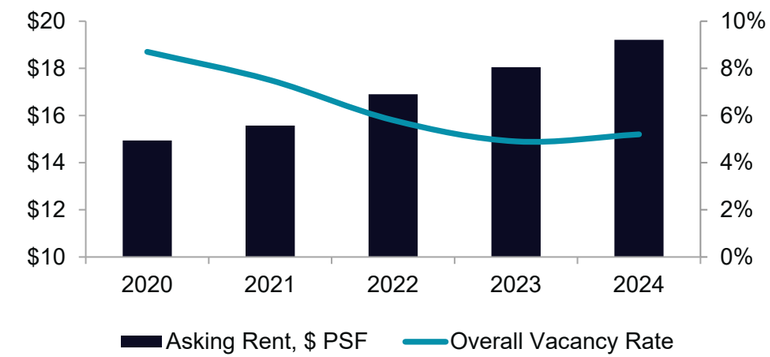
During the fourth quarter of 2024, the overall vacancy rate in the metro Phoenix retail market was 5.2%, a slight YOY increase of 30 basis points (bps) from 4.9% recorded in Q4 2023. The Central Business District submarket recorded the lowest overall vacancy rate at 3.5%, while the Mesa submarket recorded the highest overall vacancy rate at 8.4%.

In Q4 2024, Phoenix retail market reported 155,159 square feet (sf) of negative absorption, breaking a 13-consecutive quarter trend of positive absorption going back to Q2 2021. The Northwest Phoenix submarket posted the largest gains of positive absorption with 304,449 sf, while the North I-17 submarket led the region in negative absorption in the fourth quarter with -136,140 sf.

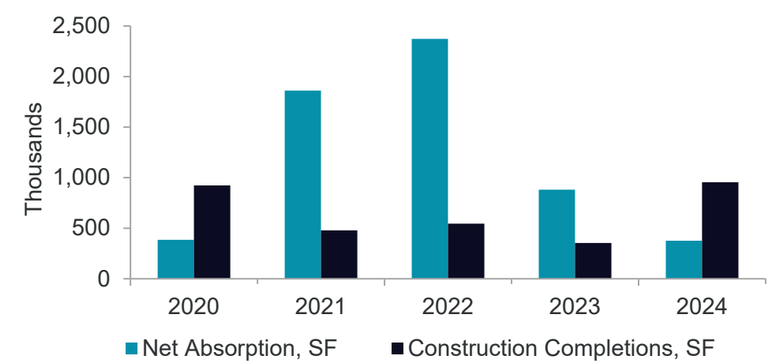
PRICING: RENTAL RATES CONTINUE TO INCREASE

The direct average asking rate for the metro Phoenix retail market was $19.21 per square foot (psf) on an annual triple net basis in the fourth quarter of 2024. This marks a 6.4% YOY increase from the $18.05 psf average asking rate that was recorded in the fourth quarter of 2023. In Q4 2024, the Scottsdale submarket had the highest asking rate of the eleven submarkets, at $28.88 psf. The Mesa submarkets had the lowest asking rate of the eleven submarkets, at $12.29 psf.

ASKING RENT / VACANCY RATE



SPACE DEMAND / DELIVERIES



Source: CoStar

© 2025 Cushman & Wakefield

MARKET STATISTICS

SUBMARKET	INVENTORY (SF)	SUBLET VACANT (SF)	DIRECT VACANT (SF)	OVERALL VACANCY RATE	CURRENT QTR OVERALL NET ABSORPTION (SF)	YTD OVERALL NET ABSORPTION (SF)	YTD LEASING ACTIVITY (SF)	UNDER CNSTR (SF)	OVERALL AVG ASKING RENT (NNN)*
Northwest Phoenix	29,011,650	31,609	1,264,885	4.5%	-45,049	304,449	712,779	92,749	$20.30
Southwest Phoenix	4,057,210	1,898	171629	4.3%	-50,419	7,154	63,619	10,625	$14.22
North I-17	18,597,553	3,154	1,182,781	6.4%	-109,505	-136,140	427,901	49,088	$16.72
North Central Phoenix	10,214,684	22,590	572,944	5.8%	-57,143	-93,544	309,283	92,000	$20.90
Scottsdale	14,936,359	6,327	685,362	4.6%	29,969	38,434	551,673	0	$28.88
Mesa	8,168,201	2,350	684,322	8.4%	42,616	33,515	374,055	36,804	$12.29
Southeast Valley	39,099,134	27,952	1,771,530	4.6%	84,474	256,689	1,081,433	228,005	$18.66
Tempe	6,784,504	10,666	415,248	6.3%	-28,077	30,668	398,764	150,000	$18.80
Sky Harbor Airport	1,129,951	0	44,816	4.0%	11,625	-11,000	19,383	0	$22.76
East Phoenix	4,875,542	0	261,262	5.4%	-36,516	-39,046	128,581	0	$19.48
CBD	466,699	0	16,396	3.5%	2,866	-14,437	7,051	0	$42.86
PHOENIX TOTALS	**137,341,487**	**106,546**	**7,071,175**	**5.2%**	**-155,159**	**376,742**	**4,074,522**	**659,271**	**$19.21**

** Rental rates reflect Triple Net asking $PSF/Year*

KEY LEASE TRANSACTIONS Q4 2024

PROPERTY	SUBMARKET	TENANT	SF	TYPE
AZ International Marketplace	Tempe	Urban Air	44,191	Direct
Patterson Landing	Southeast Valley	Elevate Trampoline Park	36,000	Direct
Main & Lindsay Shopping Center	Mesa	Burington	35,023	Direct
College Park Center	Tempe	Physiq	32,306	Direct
East Gate Plaza	Southeast Valley	Southern Veterinary Partners	31,000	Direct

**Renewals not included in leasing statistics*

KEY SALE TRANSACTIONS Q4 2024

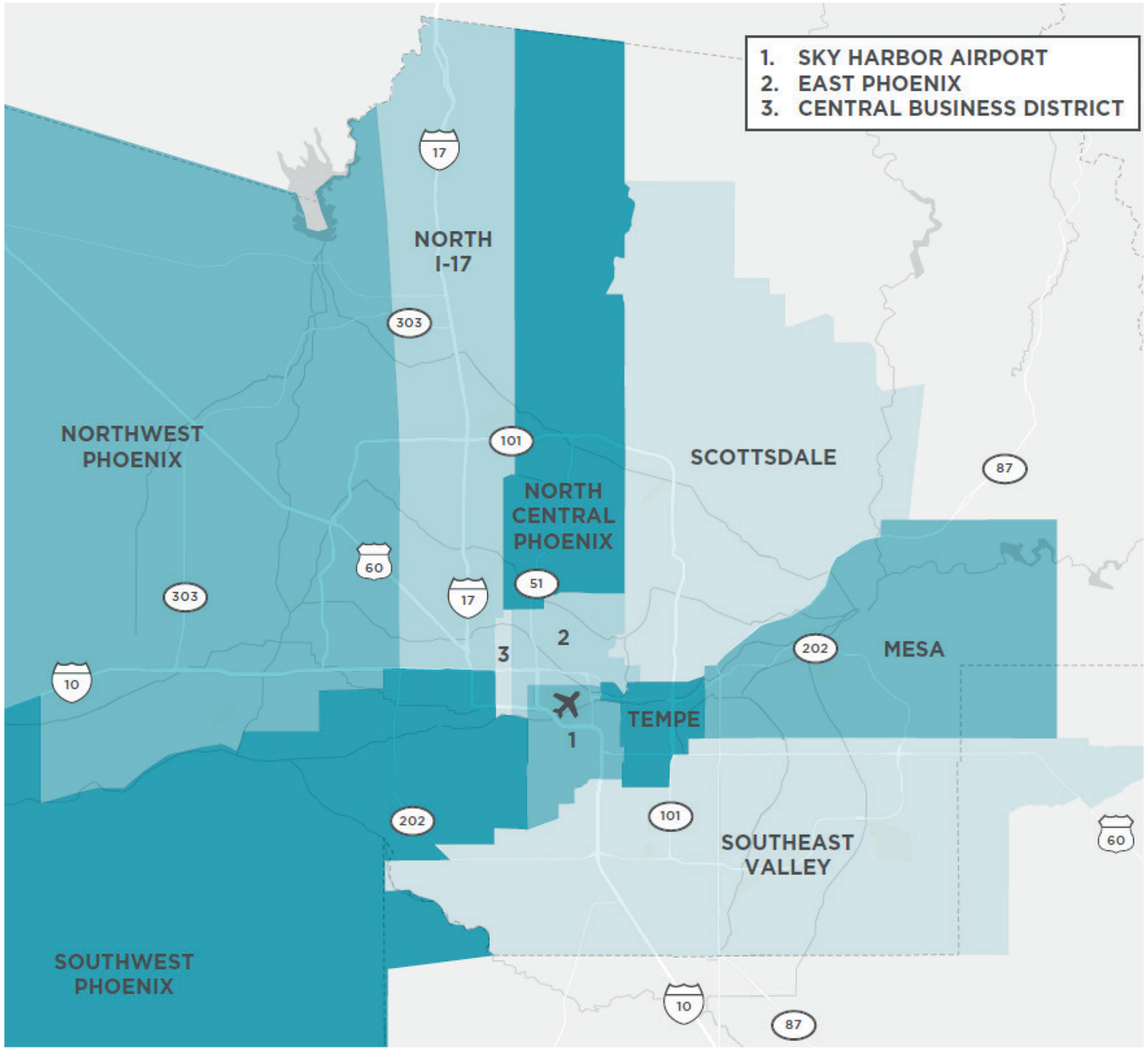
PROPERTY	SUBMARKET	SELLER/BUYER	SF	PRICE / $ PSF
Shops at Prasada North	Northwest Phoenix	Curbline Properties / Simon Commercial Real Estate	33,221	$32.0M / $963
Mountainview Marketplace	North Central Phoenix	Bright Light Ventures / United Growth Holdings	122,697	$20.1M / $164
El Monte Center	North I-17	Longpoint Realty Partners / Primestor Development	101,269	$17.0M / $168
Wal-Mart/Sam's Club Center	Scottsdale	CJ Northsight / Realty Income Corporation	128,159	$16.6M / $130
Township Plaza	Gilbert	A&C Properties / Sperry Equities	52,702	$14.0M / $266

KEY CONSTRUCTION COMPLETIONS YTD 2024

PROPERTY	SUBMARKET	MAJOR TENANT	SF	OWNER/DEVELOPER
Village at Prasada	Northwest Phoenix	Floor & Decor	308,640	SimonCRE
Hudson Station	Southeast Valley	Fry’s Food Stores	121,995	Barclay Group

© 2025 Cushman & Wakefield

RETAIL SUBMARKETS



JARED LEWIS
Senior Research Analyst
Tel: +1 480 499 0653
jared.lewis@cushwake.com

JEFF COOLEDGE
Senior Research Manager
Tel: +1 602 224 4448
jeffrey.cooledge@cushwake.com

A CUSHMAN & WAKEFIELD RESEARCH PUBLICATION

Cushman & Wakefield (NYSE: CWK) is a leading global commercial real estate services firm for property owners and occupiers with approximately 52,000 employees in nearly 400 offices and 60 countries. In 2023, the firm reported revenue of $9.5 billion across its core services of property, facilities and project management, leasing, capital markets, and valuation and other services. It also receives numerous industry and business accolades for its award-winning culture and commitment to Diversity, Equity and Inclusion (DEI), sustainability and more. For additional information, visit www.cushmanwakefield.com.

©2025 Cushman & Wakefield. All rights reserved. The information contained within this report is gathered from multiple sources believed to be reliable, including reports commissioned by Cushman & Wakefield (“CWK”). This report is for informational purposes only and may contain errors or omissions; the report is presented without any warranty or representations as to its accuracy.

Nothing in this report should be construed as an indicator of the future performance of CWK’s securities. You should not purchase or sell securities—of CWK or any other company—based on the views herein. CWK disclaims all liability for securities purchased or sold based on information herein, and by viewing this report, you waive all claims against CWK as well as against CWK’s affiliates, officers, directors, employees, agents, advisers and representatives arising out of the accuracy, completeness, adequacy or your use of the information herein.

© 2025 Cushman & Wakefield